Northstar Commercial Bank B.S.C.

Quarterly performance and risk report | Q2 2026 | BHD thousands unless stated

BANKING TEMPLATE | REPORT ID NSCB-Q2-2026-07

Executive overview

Net interest income improved as the loan portfolio expanded and deposit repricing remained favorable. Credit quality was broadly stable, although the construction segment showed early signs of stress. Digital adoption continued to rise and branch transactions declined.

Indicator	Q2 2026	Q1 2026	Management observation
Net interest income	48,200	44,100	Growth supported by commercial lending
Net profit	13,900	11,700	Improved income partly offset by technology spend
Customer deposits	1,184,000	1,126,000	Retail term deposits remained resilient
Non-performing loans	29,750	25,600	Higher watch-list exposure in construction

Management commentary

Management expects moderate asset growth in the second half of 2026. Margin pressure may emerge if deposit competition intensifies. The bank will continue targeted credit reviews and migration of routine service activity to digital channels.

Income statement

Line item	Q2 2026	Q1 2026
Interest income	63,800	58,900
Interest expense	(15,600)	(14,800)
Net interest income	48,200	44,100
Fee and commission income	9,450	8,900
Trading and investment income	2,100	2,650
Operating income	59,750	55,650
Staff and administrative expenses	(25,700)	(24,800)
Technology transformation expense	(3,850)	(2,900)
Expected credit loss	(5,600)	(6,150)
Other operating expenses	(4,900)	(4,600)
Profit before tax	19,700	17,200
Tax and statutory charges	(5,800)	(5,500)
Net profit	13,900	11,700

Operational and risk indicators

Metric	Q2 2026	Q1 2026	Unit
Gross customer loans	892,500	840,000	BHD '000
Non-performing loans	29,750	25,600	BHD '000
Digital-active customers	214,600	193,800	Customers
Total active customers	313,700	302,100	Customers
Customer complaints	1,184	1,334	Cases
Average resolution time	2.6	3.1	Days

Derived performance indicators

These measures are calculated from reported source values. The extraction pipeline should reproduce them deterministically and retain formula lineage.

Derived KPI	Formula	Result	Interpretation
Loan growth	(892,500 - 840,000) / 840,000	6.2%	Positive portfolio growth
NPL ratio Q2	29,750 / 892,500	3.3%	Higher than Q1 ratio of 3.0%
Digital adoption	214,600 / 313,700	68.4%	Majority of customers digitally active
Complaint change	(1,184 - 1,334) / 1,334	(11.2%)	Negative value indicates improvement
Net profit growth	(13,900 - 11,700) / 11,700	18.8%	Earnings improved quarter on quarter

Risk and outlook summary

Positive signals: loan growth, higher earnings, stronger digital adoption and fewer complaints. Watch items: rising non-performing loans, construction-sector concentration and potential deposit-pricing pressure.